

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$91.75 ▼ 1.13%	12M Price Target \$95.00	52-Week Range \$63.52 – \$153.86	Market Cap \$83.43B
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HOOD: Crypto Push Meets Retail Trader Fatigue

WHAT HAPPENED

- HOOD dipped ~1% on a day when financials were flat-to-up — the culprit is probably that Bloomberg piece saying 64% of young male day traders feel like "failures." That's a demand-side warning shot for HOOD's core customer, and the market noticed.
- On the flip side, they're expanding into UK crypto and launching a fund that lets retail investors back Y Combinator startups — both signal HOOD is trying to become a broader "everything financial app," not just a stock trading app. Hedge funds apparently like the pivot (per Insider Monkey).

WHY IT MATTERS

Here's what I keep coming back to: HOOD's stock is at 31% of its 52-week range — meaning it's closer to the low (\$63) than the high (\$154). That's a big drawdown from the peak, and the pullback tells you the market is already pricing in some retail trading fatigue. But the options flow is aggressively bullish (0.41 put/call ratio means way more people betting up than down) and institutions own 74.7% — that's smart money staying put. The Y Combinator fund is a bigger deal than it sounds: it's HOOD moving into private markets, which the SEC has been loosening rules around. If retail access to private companies keeps expanding under this administration, HOOD has a real second growth engine beyond stock/crypto commissions.

POLICY & POLITICAL WATCH

The huge tailwind is crypto: the current administration has been notably friendlier to crypto than the last one, and the market structure legislation (FIT21-style bills) working through Congress would give crypto exchanges clearer rules — which HOOD needs to scale its crypto business. Also watch payment-for-order-flow (PFOF) — that's how HOOD makes money routing your trades to market makers. The SEC under new leadership has backed off the Gensler-era push to ban or restrict PFOF, which is a massive quiet win for HOOD's margins. If that reverses, HOOD's whole revenue model takes a hit.

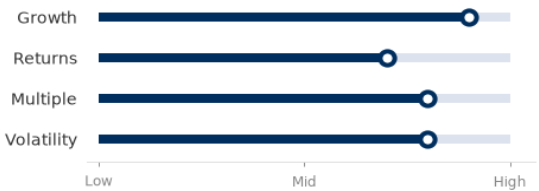
IS IT EXPENSIVE?

At ~\$83B market cap on ~\$4.2B expected 2026 revenue, investors are paying about \$20 for every \$1 of revenue — that's expensive for a broker (Schwab trades around 5-6x). The premium only makes sense if you believe HOOD keeps growing 25%+ and successfully layers on new products (private markets, UK crypto, retirement accounts). Forward P/E around 50 is a growth-stock multiple attached to a business that's still heavily tied to how excited retail investors feel — which is a fragile foundation.

Key Data

Price (USD)	\$91.75
12M Price Target	\$95.00
Upside / (Downside)	+3.5%
Market Cap	\$83.43B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	49.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$102.00	\$93.00	\$82.00
6 Months	\$120.00	\$98.00	\$75.00
1 Year	\$140.00	\$95.00	\$65.00
2 Years	\$175.00	\$110.00	\$55.00
5 Years	\$250.00	\$150.00	\$45.00
10 Years	\$400.00	\$200.00	\$30.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.27%) and Materials (+1.23%) leading today — Materials has been strong all week (+1.74% 5D), likely on infrastructure spending flows. Consumer Discretionary up 6.3% over 5 days is the real story — that's a "risk-on" signal, usually good for HOOD.

COOLING OFF: Real Estate is weak (-1.65% 5D) — suggests rates aren't coming down fast enough for the market's liking. That's mixed for HOOD (higher rates = more net interest income, but also less speculative appetite).

ROTATION WATCH: Money is rotating into cyclical and consumer names — that "animal spirits" backdrop typically means more trading activity, which is HOOD's bread and butter.

RELATED PLAY: If you like the retail trading theme but want less volatility, Schwab (SCHW) and Interactive Brokers (IBKR) benefit from the same tailwinds at cheaper multiples. Coinbase (COIN) is the pure-play crypto version of the HOOD thesis.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Directly benefiting from crypto-friendly regulatory shift and rising Bitcoin — the leading indicator for HOOD's crypto revenue.
- IBKR (Interactive Brokers): Quietly compounding on higher rates and international expansion, less dependent on meme-stock energy than HOOD.

HOOD CONTEXT: HOOD is lagging its brokerage peers over the past few weeks after leading them for most of the year. That's a normal digestion phase after a big run — but if it keeps lagging while COIN rips, it tells you the market is getting nervous about the non-crypto side of HOOD's business.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business trajectory and policy backdrop, but the valuation leaves little margin for error, so I'm not pounding the table here.

POSITION SIZE: 2-4% of portfolio — big enough to matter if it works, small enough that a 40% drawdown doesn't ruin your year. This stock swings hard.

ENTRY POINTS: I'd rather add on pullbacks to \$80-85 than chase here. If it gets to the low \$70s on a crypto scare, that's where you back up the truck.

TIME HORIZON: 12-18 months — the catalysts I'm watching are crypto legislation passage, the Y Combinator fund's traction, and quarterly active user growth.

WHEN TO BAIL: If monthly active users decline two quarters in a row, or if the SEC reopens the PFOF debate, or if crypto revenue drops more than 40% in a quarter — any of those and I'm out.

HEDGING: Simplest hedge is to size it small. If you want more protection, pair it with a boring, cheap broker like Schwab so you're long the "people trade more" theme without being all-in on HOOD's specific customer base.